



Department
of Transport
and Planning

Implementing trades registration & licensing



What is trades registration and licensing?

Trades registration and licensing requires tradespeople carrying out regulated work to meet minimum competency standards.

The scheme would make tradespeople directly accountable for their work and allow regulators to take action when needed.

This initiative aims to:

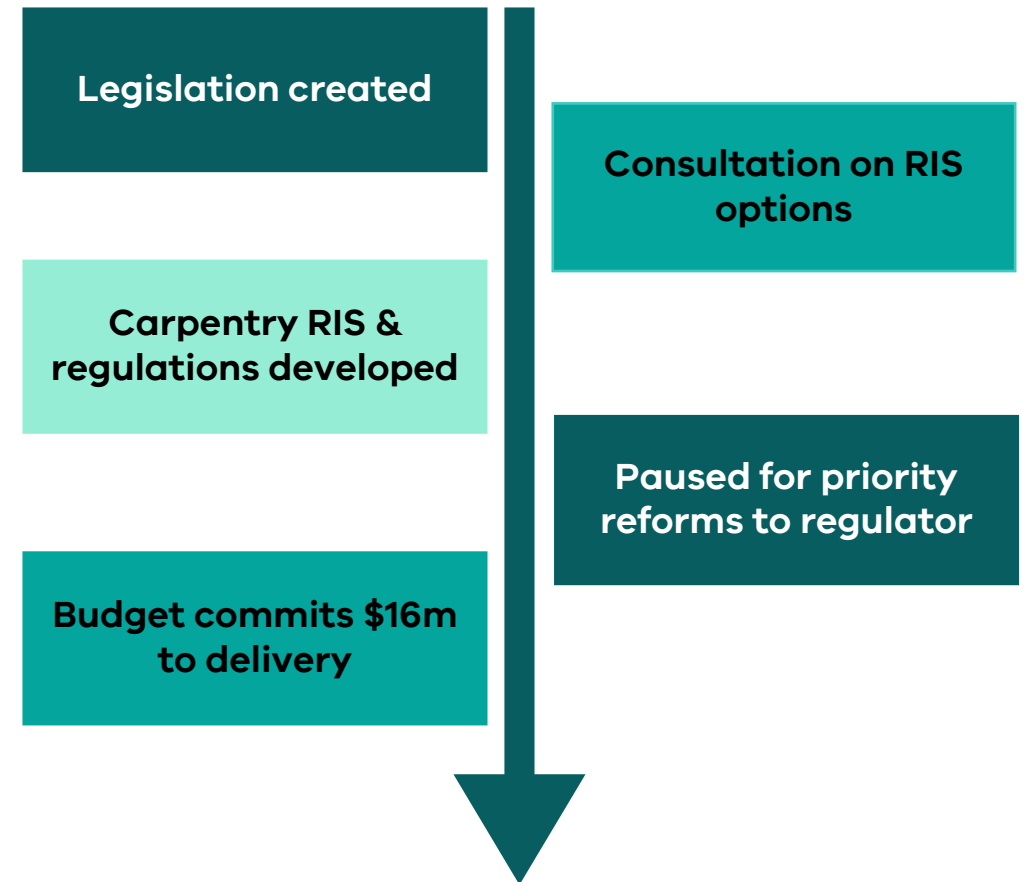
- ✓ **Improve consumer confidence**
- ✓ **Reduce building defects**
- ✓ **Incentivise skills formation and attainment of qualifications**
- ✓ **Enable greater regulatory oversight**

The 26-27 State Budget identified three priority trades:

- ✓ **Carpentry**
- ✓ **Waterproofing**
- ✓ **Welding**

Carpentry has been prioritised first due to its complexity and the significant risk of defects and non-compliance.

What has happened so far:



Current legislative framework

Registration/licence tier	Scope of authorised work		
	Enter a contract with a consumer for carpentry work over \$10,000	Enter a subcontract for carpentry work with a registered builder	Carry out carpentry work
Registered builder (existing)	Permitted	Permitted	Permitted
Subcontractor registration (proposed)	Not permitted	Permitted	Permitted
Employee licence (proposed)	Not permitted		Permitted

Note - Apprentices will not be subject to registration or licensing requirements

The BPC's registration & licensing operating model

The BPC's risk-based approach to registration

The BPC has recently reformed how it administers registration and licensing through its 'trust and verify' model.

The model applies a risk assessment both to the type of work authorised by classes of registration and to individual applicants.

The 'trust and verify' approach will:

- ✓ Reduce the paperwork required
- ✓ Reduce administrative burden on low-risk registration classes
- ✓ Introduce earlier assessments to identify risks
- ✓ Provide quicker decisions.

The BPC's streamlined application process

The BPC has also streamlined the application process and moved it online, guiding applicants to the right registration pathway.

The integrity assessment process has also been strengthened with higher-risk classes requiring an exam to verify required competency.

Key feedback we are seeking



Alignment with objectives of reform

All options raised should clearly articulate how they:

- ✓ Reduce building defects;
- ✓ Incentivise skills formation and qualifications;
- ✓ Enable greater regulatory oversight; and
- ✓ Improve consumer confidence.



Applying a risk-based approach

Regulatory requirements create a cost and burden on:

- Businesses;
- Industry; and
- Other sections of the community.

It is important that any option progressed accounts for risk:

- ⊙ Where burdensome requirements are limited to the highest risk activity, and
- ✓ lower risk activity is subject to 'lighter touch' oversight or restrictions.

Key feedback we are seeking - continued



Transitioning the existing workforce

Victoria has a large and diverse building trades workforce.

Their experience can come from a variety learning pathways:

- ✓ Formal qualifications;
- ✓ Apprenticeships;
- ✓ Supervised experience; and
- ✓ On the job learning.

Any option explored by the Department should consider pathways for those skills to be recognised while ensuring competency requirements are met.



Implementation and operational readiness

The Department estimates that there are over 20,000 carpenters in Victoria.

Transitioning such a large cohort will be a resource intensive process.

Key factors that should be considered for any option progressed include:

- ✓ The impact to the Building and Plumbing Commission and its responsibilities;
- ✓ The educational burden on registered training providers and the time require to operationalise the requirements; and
- ✓ Future scalability to other trades like waterproofing and welding.

Next steps

Submit your proposals at engage.vic.au/registration-and-licensing-of-carpenters

More questions?

Reach out to the team at
building.policy@transport.vic.gov.au



We are accepting submissions and survey responses until 11 October 2026.

